



Global Mobile Consumer Survey 2019 South Africa Cut

March 2020

GMCS GLOBAL FOOTPRINT



Continents



Countries

44 150

Respondents

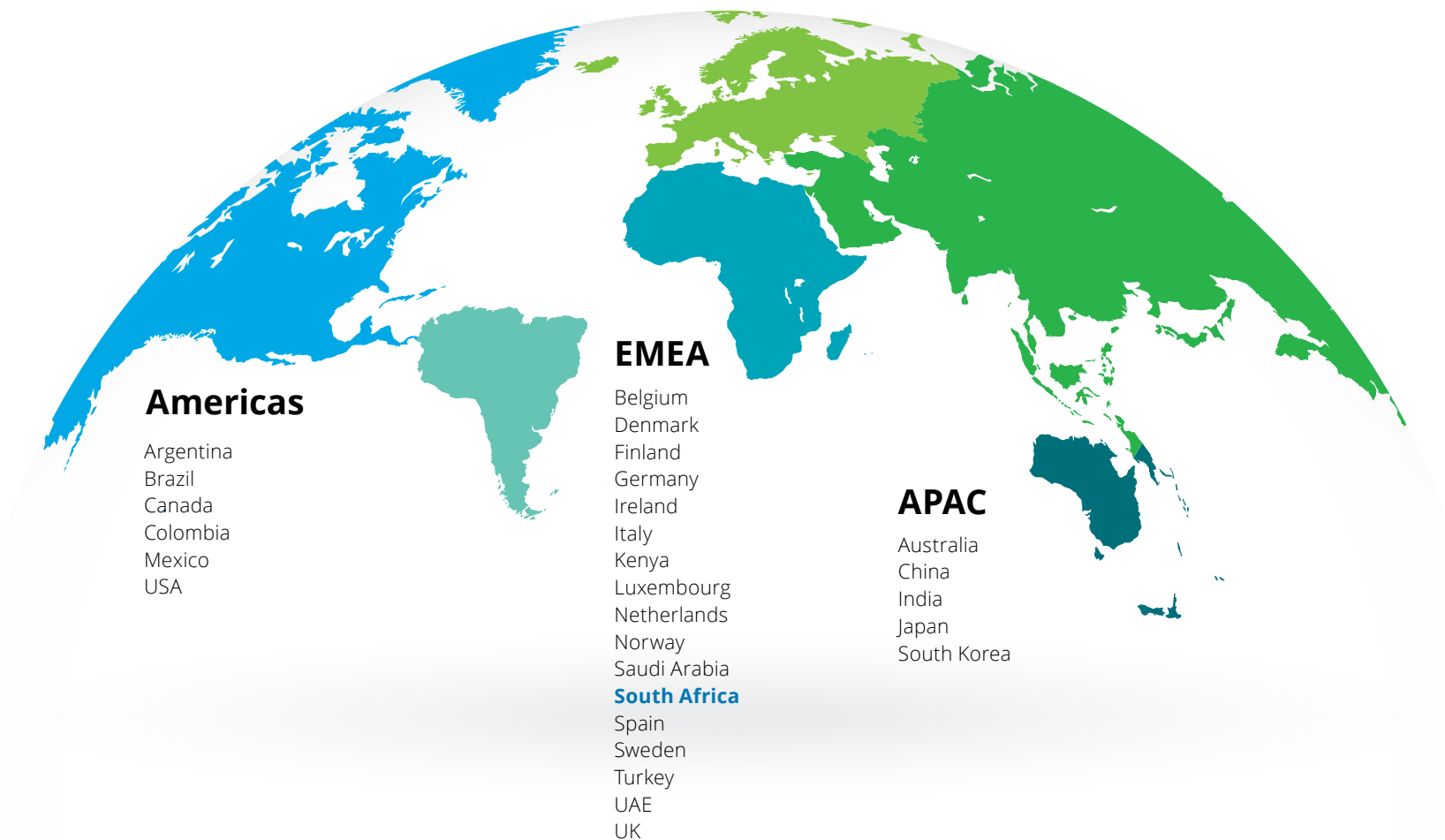
GMCS SOUTH AFRICA

16-45

Age of
respondents

1 000

Nationally representative
respondents



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FOREWORD

At the end of his visit to Africa on 28 November 2019, Jack Dorsey, the CEO of Twitter and Square, remarked that, “Africa will define the future.” The future that awaits will build upon the foundation of today and the mobile device is expected to continue playing a critical role in unlocking new opportunities. In this *Global Mobile Consumer Survey (GMCS) South Africa Cut*, key trends and developments, as reported by South African mobile consumers, are highlighted.

Smartphones remain consumers’ favourite device and have become a basic requirement for participation in the digital era. This trend is largely driven by affordability and convenience. In the past year, there has been a decline in the popularity of tablets. This trend can be explained by the continued improvement in smartphone screen size, processing power and prices. The top manufacturers of phones continue to leverage their strong brands and relationships with service providers to dominate the market. The launch of locally assembled phones may impact on pricing, distribution dynamics and customer choice; the extent of this impact remains to be seen.

Most consumers replace their phones after two years, in line with standard contract upgrade cycles. However, this seems to be true for non-contract subscribers as well, which reflects the influence service providers have on shaping consumer behaviour. Used phones are usually handed down to other family members, thereby expanding smartphone penetration, as well as extending the device’s life cycle. Software and application developers should consider this insight in making their compatibility phase in and phase out decisions.

Although unlimited data packages are gaining popularity, the 500MB–5GB range seems to be the sweet spot between accessibility and affordability. The effective data rates have been declining, yet consumers still feel that service providers should do more. The use of e-commerce-related services increases with age, and gender plays a role in influencing usage patterns.

Data privacy remains a concern, but most consumers believe that only their basic non-sensitive information is shared when they engage with companies online.

LOOKING AHEAD

Looking forward, the mobile consumer will continue to be at the centre of defining Africa’s future. Key to this future is an environment enabling the mobile industry to grow; inclusivity in access to broadband services; and responsible handling of consumer data. Transparency and education on data privacy and cyber security should be deliberate.

The release of new additional spectrum to the market is set to have a significant impact on the South African mobile telecommunications industry. This will trigger new investments and unlock additional capacity to improve access to broadband services.

The launch of a commercial 5G network providing Fixed Wireless Access (FWA) service in South Africa is also significant and sets the tone for the rest of Africa. With each new generation of technology, the expectation is that the digital divide will close, not widen. It is South Africa’s collective responsibility to bring as many of our people along with us as possible.



Grant Chivandire
Africa TMT Senior Manager,
Deloitte Africa

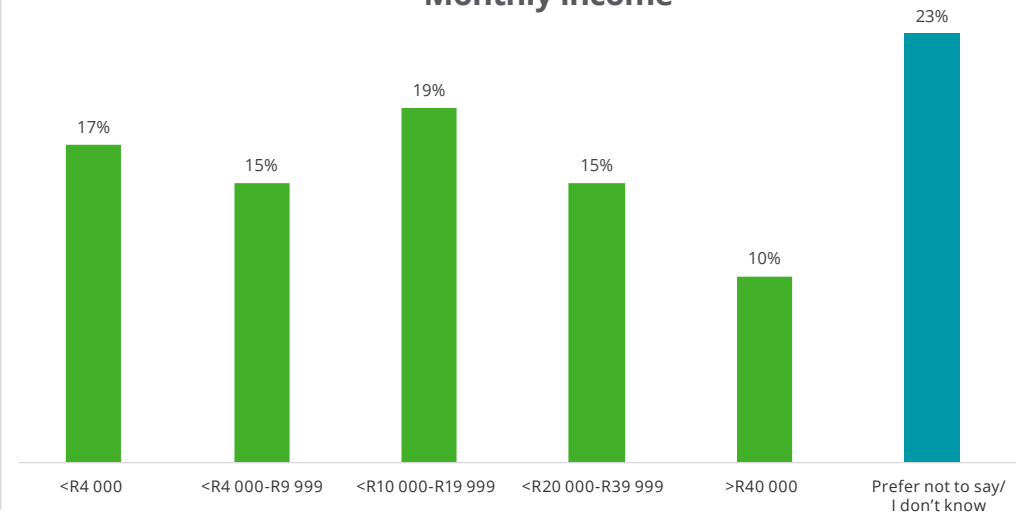
SAMPLE OVERVIEW

Sample size: 1 000

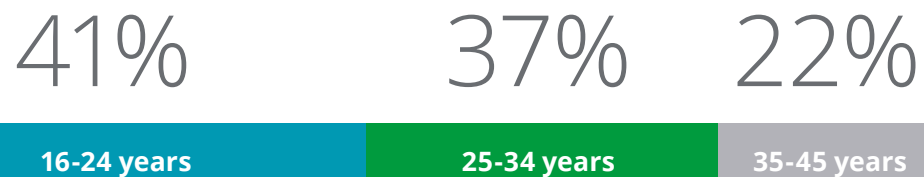
Gender split



Monthly income



Age split



Urban-Rural split



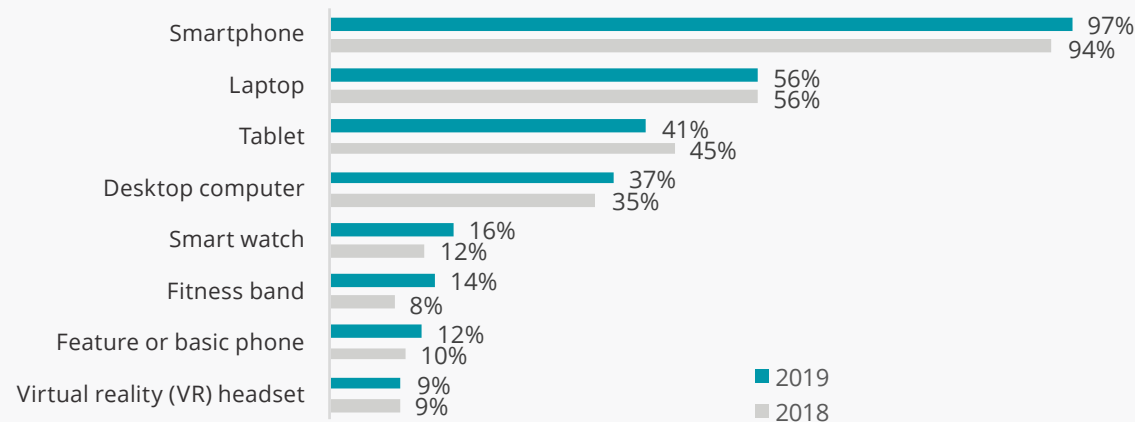
DEVICE MARKET:

Smartphones plateauing at the peak



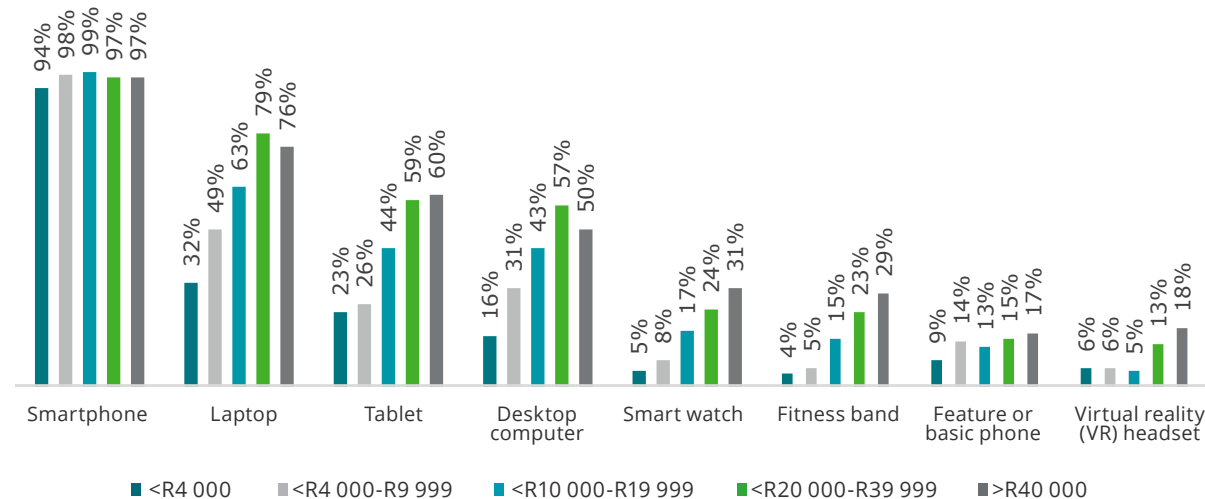
Devices: **Smartphones** are the **firm favourites**, showing similar ownership rates to more developed markets in Europe. **Laptops** remain popular, but ownership is **stagnant**. **Tablets** are the only device category that showed **declining** ownership levels between 2018 and 2019.

DEVICE OWNERSHIP (2018 & 2019)



Q. Which of the following devices do you own or have ready access to (at work or home)?

DEVICE OWNERSHIP BY INCOME GROUP



Q. Which of the following devices do you own or have ready access to (at work or home)?

Device ownership is mostly increasing

Smartphones are the firm favourites of device users in South Africa, showing similar ownership rates to more developed markets in Europe. This shows that a smartphone, with the help of lower priced options, is fast becoming a basic requirement for consumers in the digital era.

Laptops remain popular, but ownership is stagnant and remains below the ownership rates in Europe, reflecting lower purchasing power compared to Europe and the potential leapfrogging and substitution of this technology by powerful smartphones.

Tablets, albeit still popular, are the only device category which showed declining ownership levels between 2018 and 2019. This may reflect the declining perceived advantage of these devices compared to smartphones, as the latter's screen size and processing power has increased in recent years, making a secondary device such as tablets redundant.

Devices such as smart watches and fitness trackers are not yet very common in the South African market, but ownership of these devices increased noticeably between 2018 and 2019. Fitness bands have recorded the largest increase across all device categories.

Large differences between income groups

While smartphone ownership is widespread across all income groups, there are large differences between income groups for other devices. Device ownership, especially emerging technology, tends to increase with income levels.

While often seen as a low-cost alternative to smartphones, feature or basic phones serve as a secondary device for more affluent consumers, perhaps for their longer battery life.

Devices: **Smartphones** are popular across **all age groups**. **Young consumers** tend to be **early adopters** of emerging technologies.

Smartphones remain firm favourites across all age groups

Smartphone ownership is very high and relatively similar across all age groups.

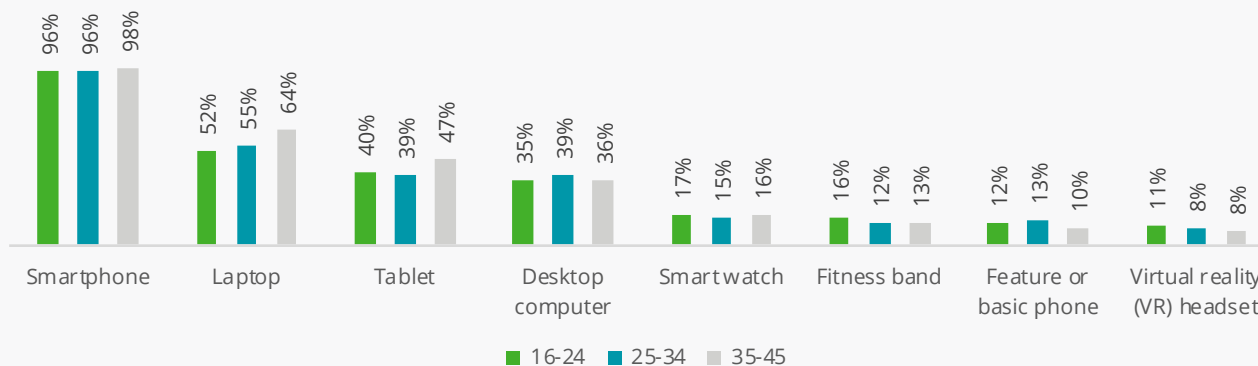
Laptop and tablet ownership increases with age, with consumers within the age group 35–45 years most likely to own such a device. For most professionals, laptops remain an important productivity tool, often provided by employers.

Ownership of emerging technologies, such as smart watches, fitness trackers or virtual reality headsets, remains low across age groups, but is slightly more common among consumers within the age group 16–24 years. This may indicate an early-adopter status of this age group and, for owners of fitness bands, a greater awareness of a healthy lifestyle.

Device ownership is mostly increasing, but the degree of increase is age dependent

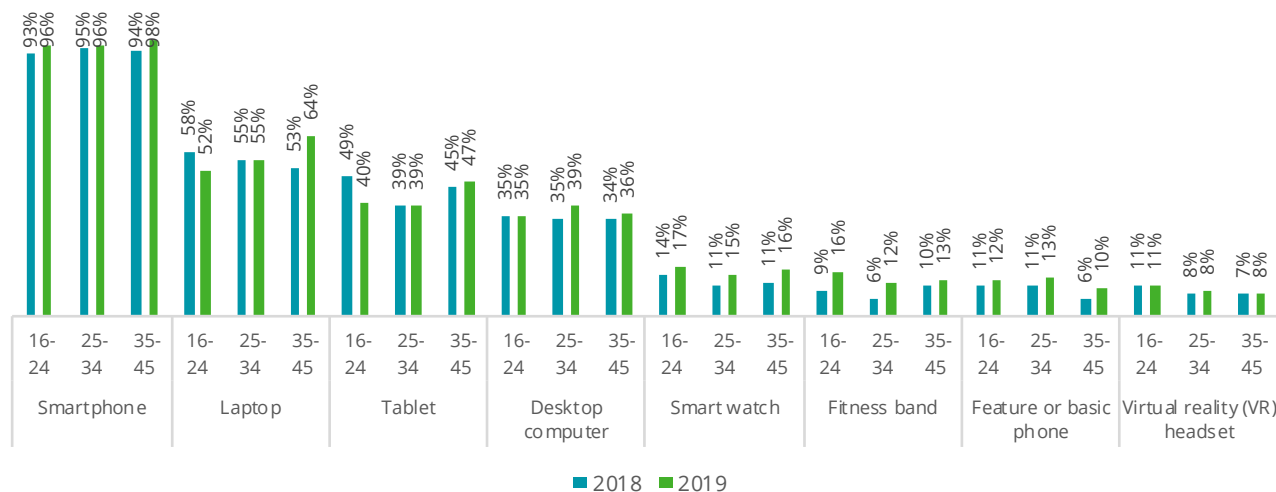
There have been noticeable changes in access to certain devices between the different age groups. While access to laptops and tablets declined noticeably among consumers aged 16–24 years between 2018 and 2019, access to these devices has increased among consumers within the age group 35–45 years.

DEVICE OWNERSHIP BY AGE



Q. Which of the following devices do you own or have ready access to (at work or home)?

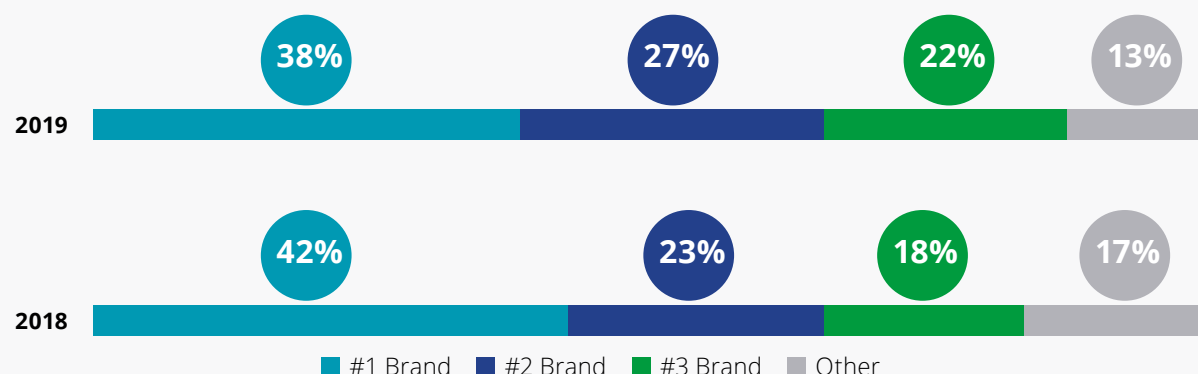
DEVICE OWNERSHIP BY AGE (2018 & 2019)



Q. Which of the following devices do you own or have ready access to (at work or home)?

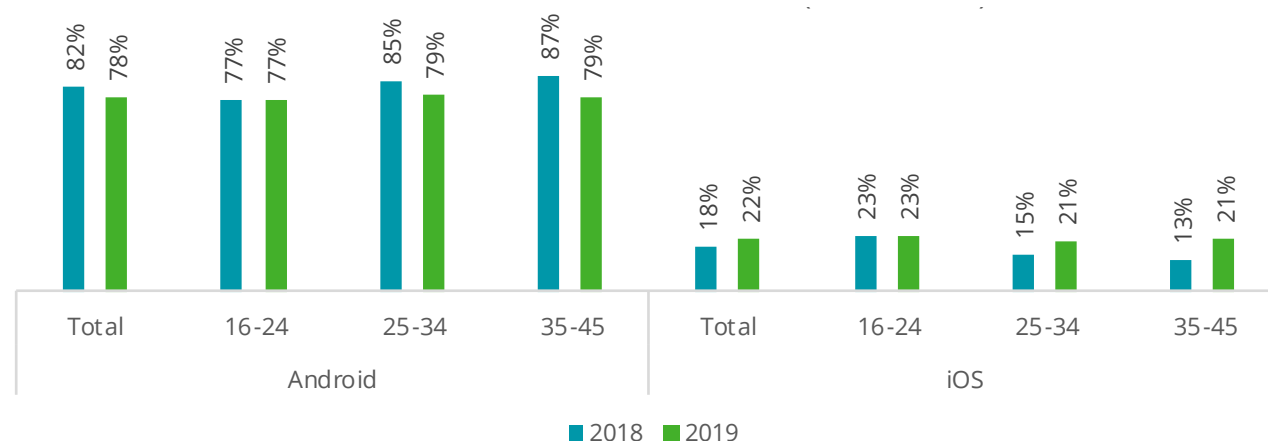
Devices: The top three device brands consolidated their combined market share from 83% in 2018 to 87% in 2019. Compared to 2018, the market leader lost market share in 2019 to its two strongest competitors.

MARKET SHARE OF TOP 3 BRANDS (2018 & 2019)



Q. Which of the following devices do you own or have ready access to (at work or home)?

OPERATING SYSTEM BY AGE GROUP (2018 & 2019)



Q8. Which of the following devices do you own or have ready access to (at work or home)?

Top brands cement their market leadership position

The top three device brands consolidated their combined market share from 83% in 2018 to 87% in 2019, reflecting their brand appeal among consumers, as well as the strong linkage these brands have with the respective mobile operators.

Interestingly, compared to 2018, the market leader lost market share to its two strongest competitors in 2019.

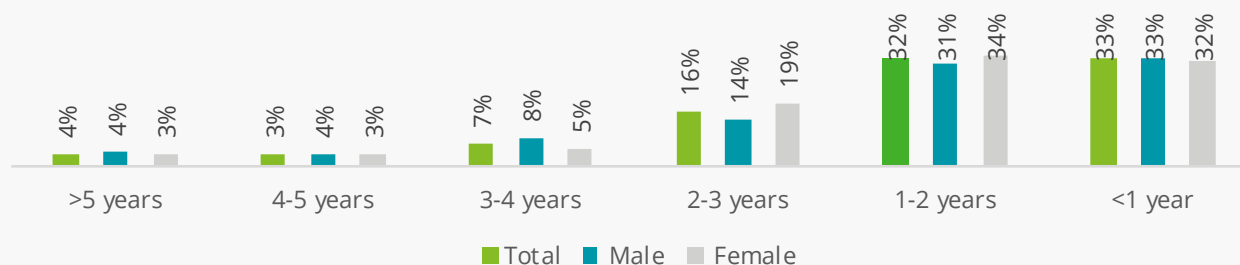
iOS-powered devices are gaining in popularity

While Android-powered phones are firm favourites among South Africans, the iOS operating system increased in popularity in 2019.

iOS is most popular among consumers aged 16–24 years, compared to other age groups. However, between 2018 and 2019, iOS's popularity recorded the largest jump in the age group 35–45 years, increasing from 13% to 22%.

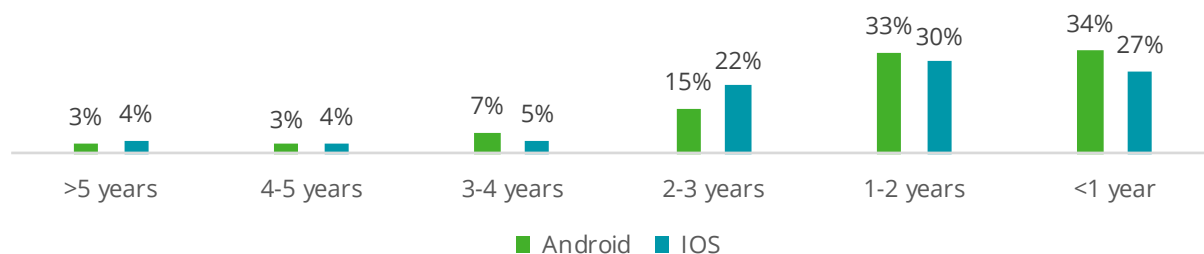
Devices: South Africans **replace** their phones quite **frequently**.

AGE OF MOBILE PHONE BY GENDER



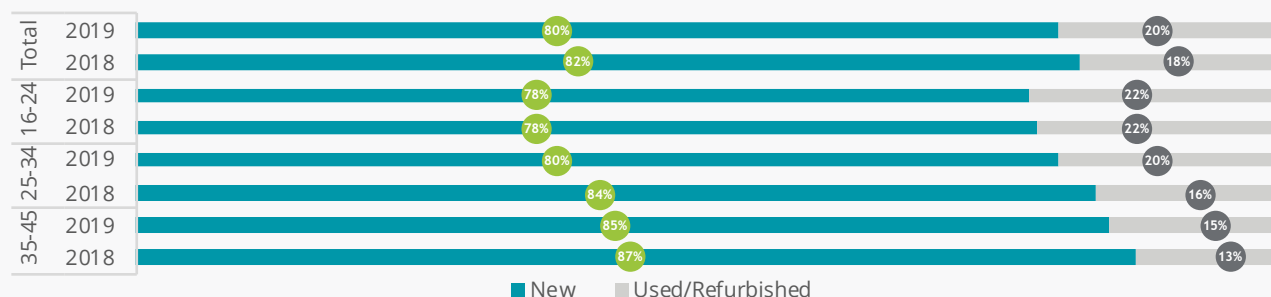
Q. When did you buy or receive your current mobile phone?

AGE OF MOBILE PHONE BY OPERATING SYSTEM



Q. When did you buy or receive your current mobile phone?

NEW VS USED PHONE PURCHASES BY AGE



Q. When you got your current phone, was it new or used?

Most consumers have relatively new phones

About two-thirds of consumers, irrespective of gender, own mobile phones that are less than two years old. This is in line with the standard upgrade intervals of mobile contracts in the South African market, a culture that seems to be followed by pre-paid subscribers as well.

Android users tend to have newer mobile phones

Compared to iOS users, Android users tend to have newer mobile phones. More than two-thirds of all Android users have access to a phone less than two years old, compared to less than 60% of iOS users.

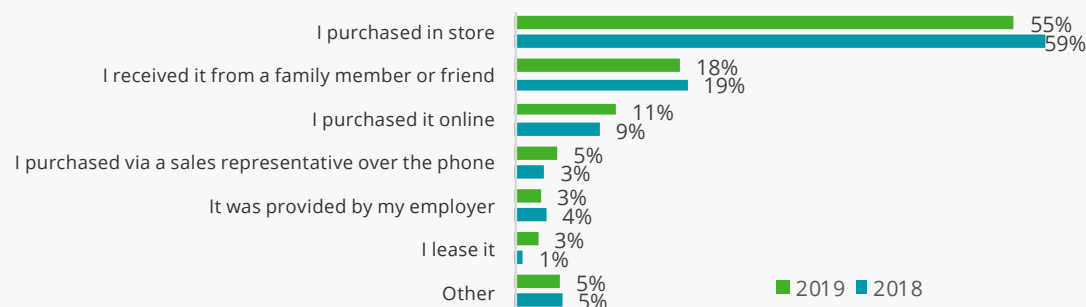
This suggests lower price points and higher affordability of Android-powered devices, as well as the larger variety of devices with this operating system.

Second-hand phones are most common among young consumers

One-fifth of consumers used second-hand phones in 2019, a marginal increase across all age groups compared to the previous year. The use of second-hand phones declines with age, which also largely corresponds with an increase in income. The higher share of second-hand phones also indicates a common trend of handing down phones to younger family members after the purchase of or upgrade to a new device.

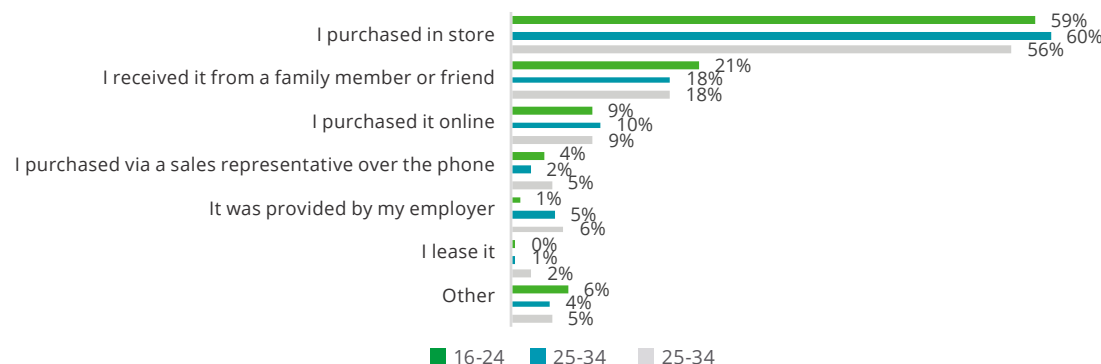
Devices: South Africa has a **culture of handing down** used devices.

MOBILE PHONE PURCHASE BY SALES CHANNEL (2018 & 2019)



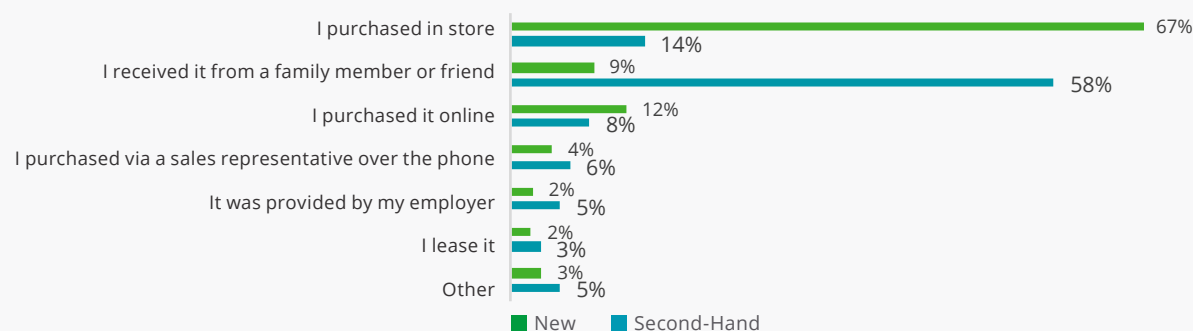
Q. Which, if any, of the following apply to how you got your current phone?

MOBILE PHONE PURCHASE BY SALES CHANNEL AND AGE



Q. Which, if any, of the following apply to how you got your current phone?

SALES CHANNEL FOR NEW AND SECOND-HAND PHONES



Q. When you got your current phone, was it new or used?

Stores remain the most important sales channels for mobile phones

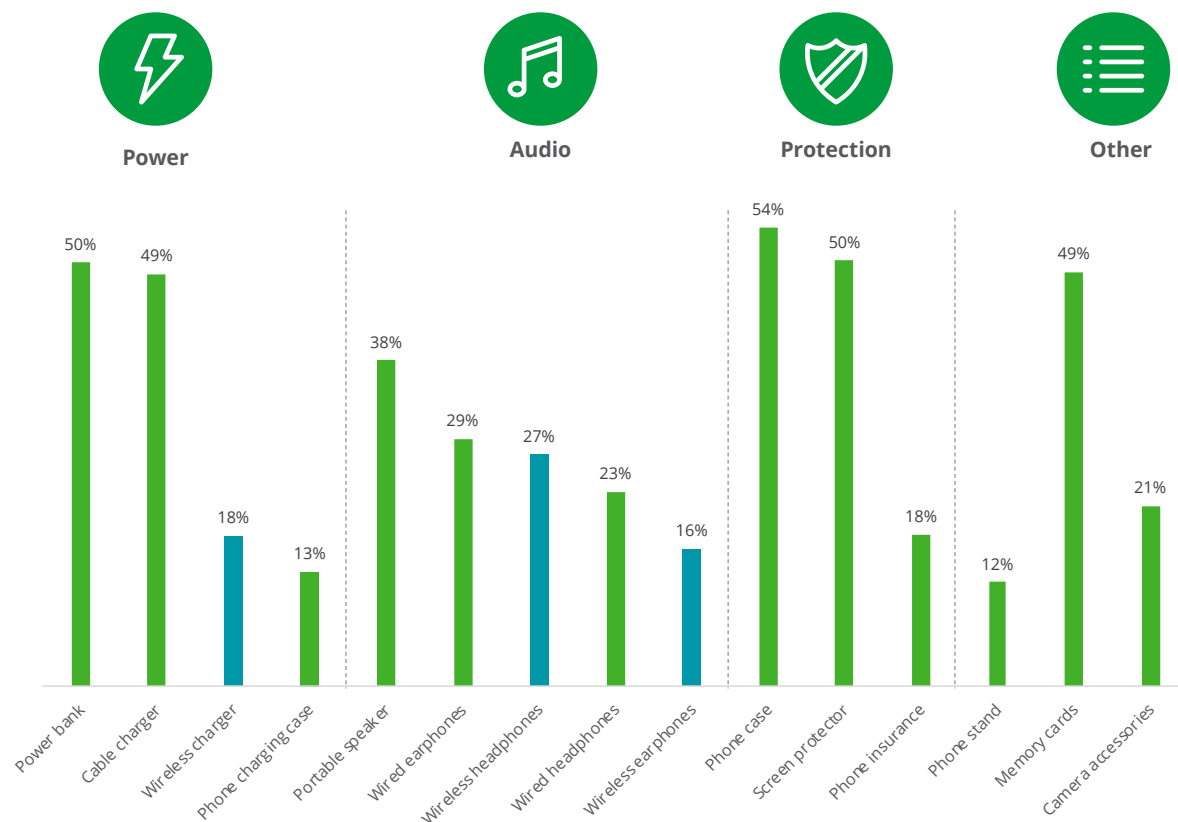
More than half of all mobile phones were purchased in stores. Consumers seem to appreciate the in-store person-to-person interaction, as well as the ability to touch and feel the product before making a purchase. However, the dominance of stores marginally declined between 2018 and 2019, with online and telephonic purchases increasing slightly during the period.

Relatively small market for second-hand mobile phones

Most second-hand phone users received their phones from family members or friends, indicating a culture of handing down a device once a new device is purchased.

Accessories/services: “Wireless” is a big growth area.

OWNERSHIP OF ACCESSORIES/SERVICES



Q. Which of these accessories/services do you own that were purchased separately from the phone and/or received as a gift?

Base: All who own or have access to a smartphone or a feature/basic phone

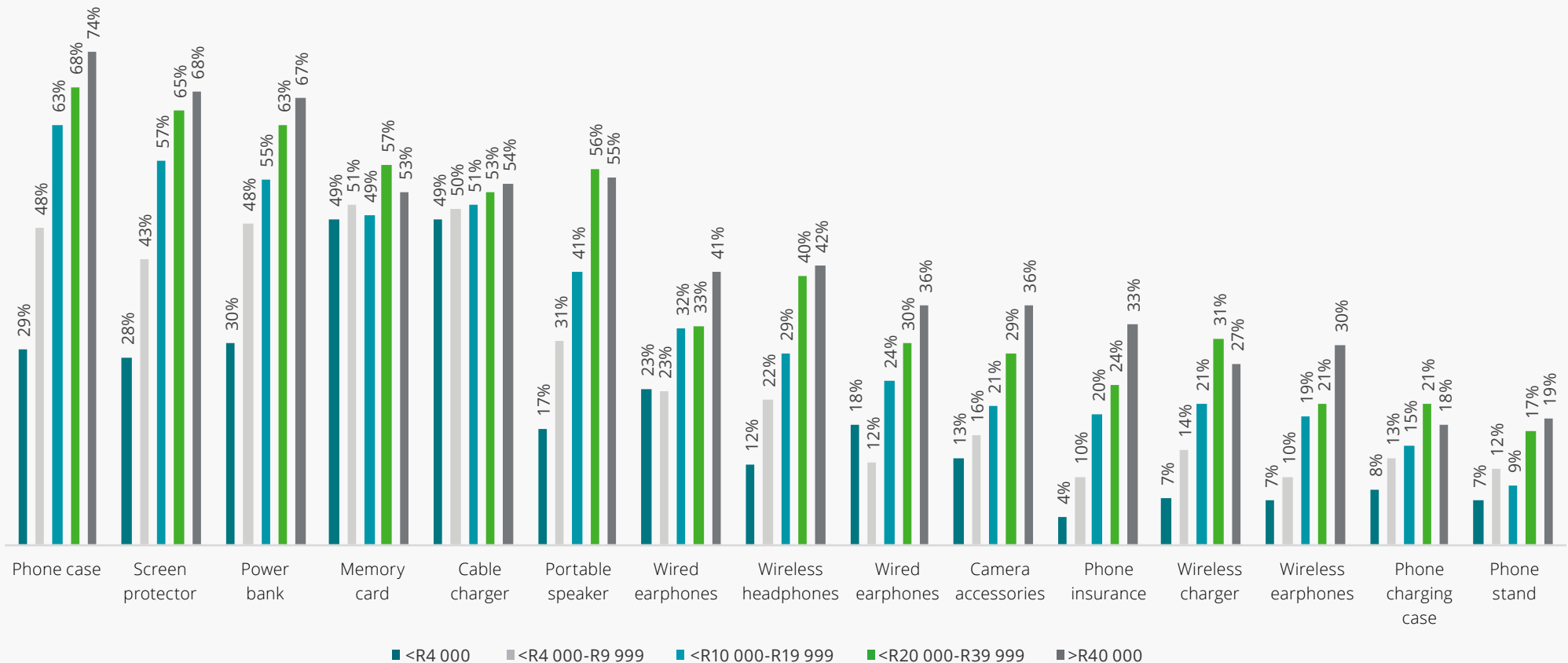
Protective accessories most common accessories

Many mobile device users have purchased accessories or related services such as insurance for their devices. Protective accessories, such as a phone cases and screen protectors, are most popular.

Purchases of wireless accessories remain low, but present an interesting growth opportunity, especially with the number of devices launched without a standard 3.5mm headphone jack increasing.

Accessories/services: Most accessory purchases are a [matter of income](#).

ACCESSORY/SERVICES OWNERSHIP BY INCOME GROUP



Q. Which of these accessories/services do you own that were purchased separately from the phone and/or received as a gift?

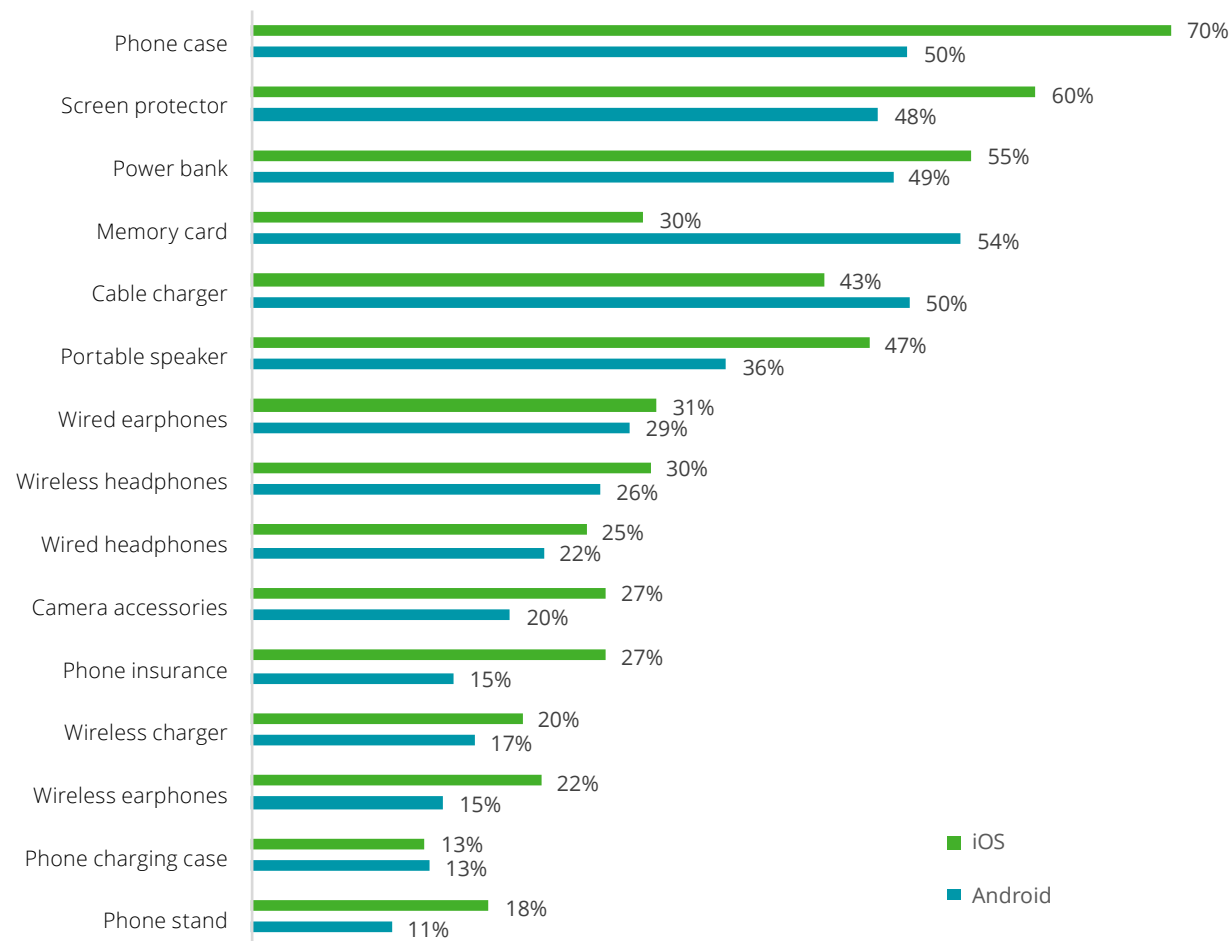
Base: All who own or have access to a smartphone or a feature/basic phone

Large differences between income groups

While ownership of most accessories increases with income, there are only small differences in ownership across income groups for memory cards and cable chargers, suggesting that these accessories are regarded as more necessary than other accessories.

Accessories/services: iOS users are more likely to buy accessories.

ACCESSORY OWNERSHIP BY OPERATING SYSTEM



Noticeable differences between operating systems

There are noticeable differences between users of the two dominant operating systems and their demand for various accessories. iOS users seem to be more likely to buy accessories or insurance compared to Android users.

This may suggest that Android-powered phones are often bundled with accessories such as phone cases and screen protectors.

Given that iOS-powered devices tend fall into the high-price/premium segment, it is not surprising that more iOS users purchase insurance services for their devices.

Q. Which of these accessories/services do you own that were purchased separately from the phone and/or received as a gift?

Base: All who own or have access to a smartphone or a feature/basic phone

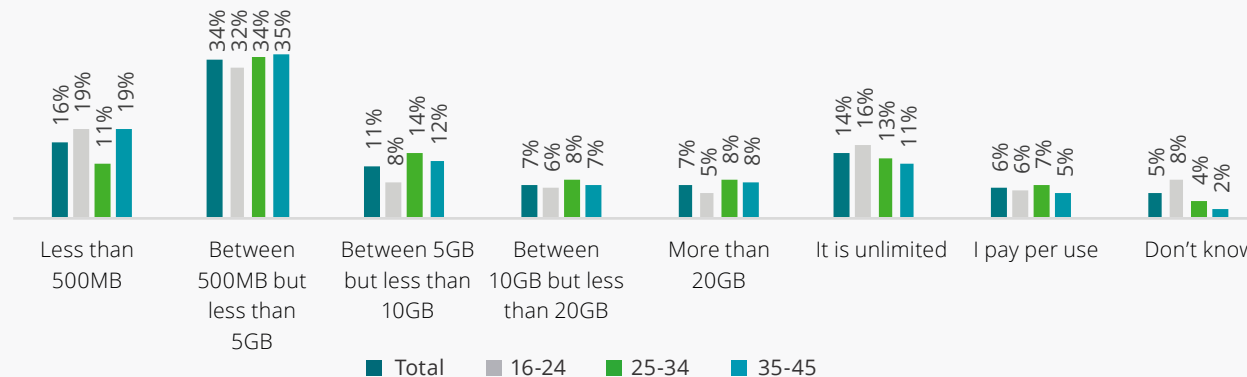
CONNECTIVITY:

Capped but happy



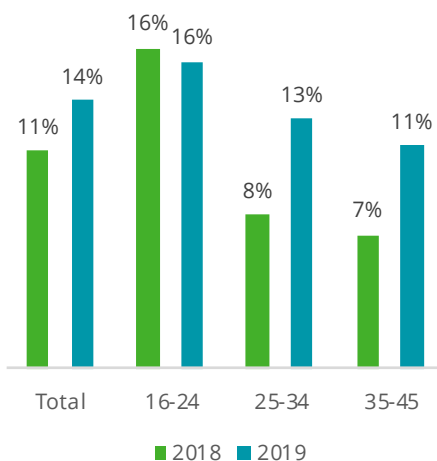
Access to mobile internet: **Capped data packages** remain the norm, but **unlimited** packages are gaining in popularity.

MONTHLY DATA ALLOWANCE BY AGE



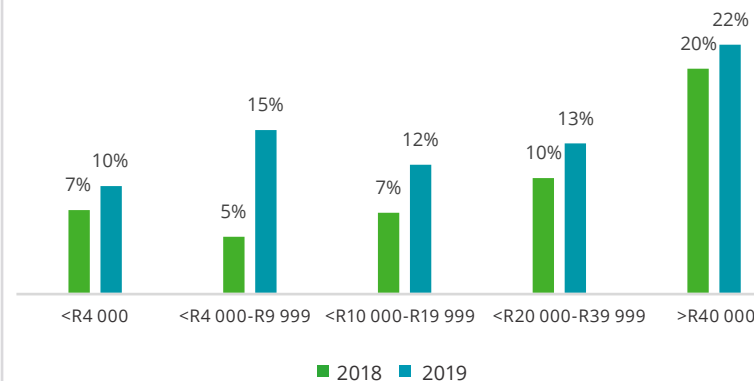
Q. What is your monthly data allowance on your phone?

UNLIMITED MONTHLY DATA ALLOWANCE BY AGE (2018 & 2019)



Q. What is your monthly data allowance on your phone?

UNLIMITED MONTHLY DATA ALLOWANCE BY INCOME GROUP (2018 & 2019)



Capped data packages remain the norm

Monthly data packages below 5GB are the most common package sizes, accounting for about 50% of all data packages. They represent a balance between accessibility and affordability. Close to one-third of consumers within the age group 25–34 years subscribe to capped packages of more than 5GB per month, making them the largest group of “heavy, but capped” users. In contrast, less than 20% of consumers aged 16–24 years fall into this category.

Unlimited data packages are gaining popularity

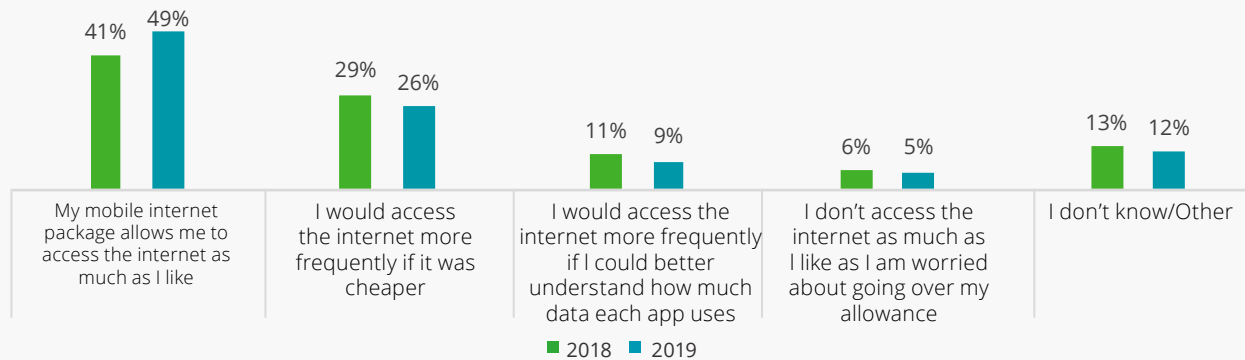
While capped data packages remain the norm in South Africa, unlimited packages are gaining in popularity. In particular consumers within the age group 16–24 years subscribe to unlimited packages. However, the popularity of unlimited packages among this age group dropped slightly between 2018 and 2019. The age group 25–34 years recorded the largest increase in unlimited packages.

Unsurprisingly, unlimited data packages, which tend to be among the most expensive subscriptions in South Africa, are most popular among consumers with a monthly income of more than R40 000 and least popular among the income group earning less than R4 000 a month.

Interestingly, the increase in subscribers to unlimited packages increased noticeably at the lower end of the income spectrum, indicating the changing value proposition of these uncapped packages.

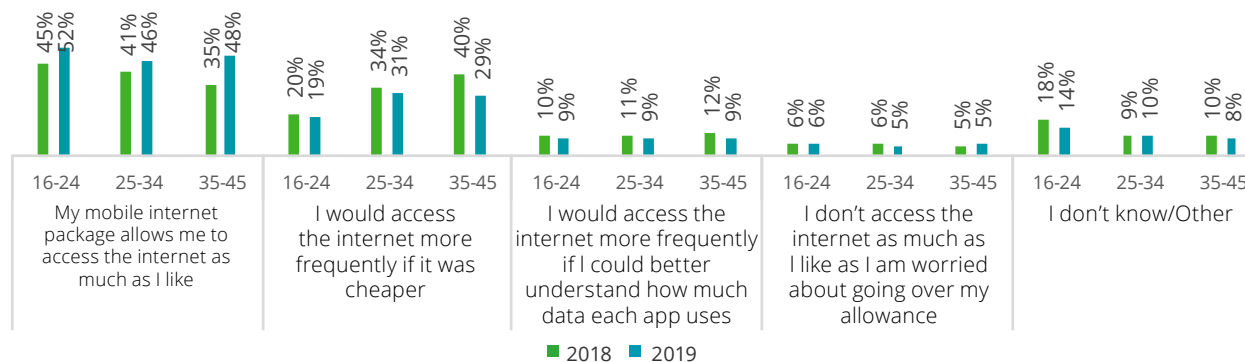
Access to mobile internet: **Satisfaction** with internet subscription is increasing.

SENTIMENT TOWARDS CURRENT INTERNET SUBSCRIPTION/TARIFF (2018 & 2019)



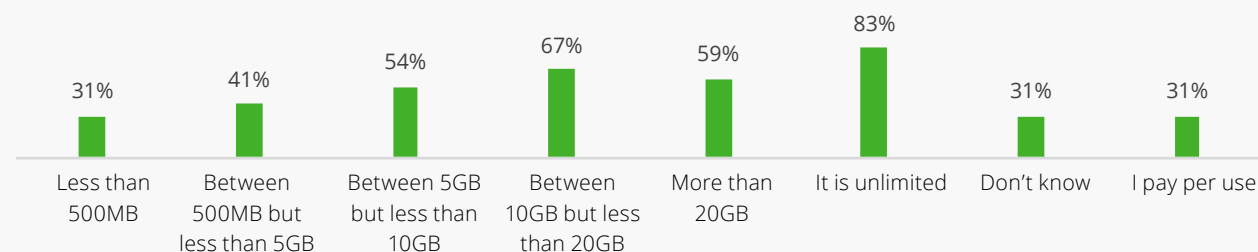
Q. How do you feel about your current internet subscription/tariff on your mobile phone?

SENTIMENT TOWARDS CURRENT INTERNET SUBSCRIPTION/TARIFF BY AGE (2018 & 2019)



Q. How do you feel about your current internet subscription/tariff on your mobile phone?

COMPLETE SATISFACTION WITH SIZE OF INTERNET PACKAGE BY DATA ALLOWANCE



Q. How do you feel about your current internet subscription/tariff on your mobile phone?

Half of consumers are satisfied with their internet subscriptions

About 50% of South African consumers are satisfied with their internet subscriptions. Satisfaction with internet subscriptions has increased in 2019, compared to 2018. However, still more than a quarter would use the internet more if data was more affordable – a slight decline compared to the previous year. Cost remains the most important factor inhibiting consumers from using the internet more.

Large differences between age groups

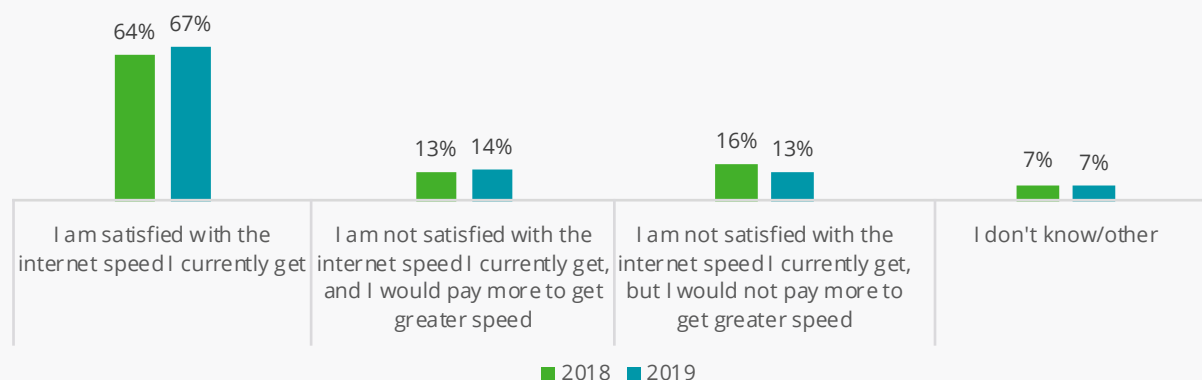
In terms of internet subscription, consumers aged 16–24 years remain the most satisfied age group. Satisfaction with internet subscriptions increased the most within the age group 35–45 years. Cost as an inhibitor to using the internet more is least pronounced among consumers within the age group 16–24 years who are likely to pass the responsibility to parents/guardians.

Satisfaction increases with package sizes

Consumers that subscribe to large data packages or to uncapped packages tend to be more satisfied with the size of their packages compared to subscribers to smaller packages. Users with uncapped packages are the most satisfied consumers, but – interestingly – not all these users are satisfied, which might be an indication of dissatisfaction with the pricing of these uncapped packages.

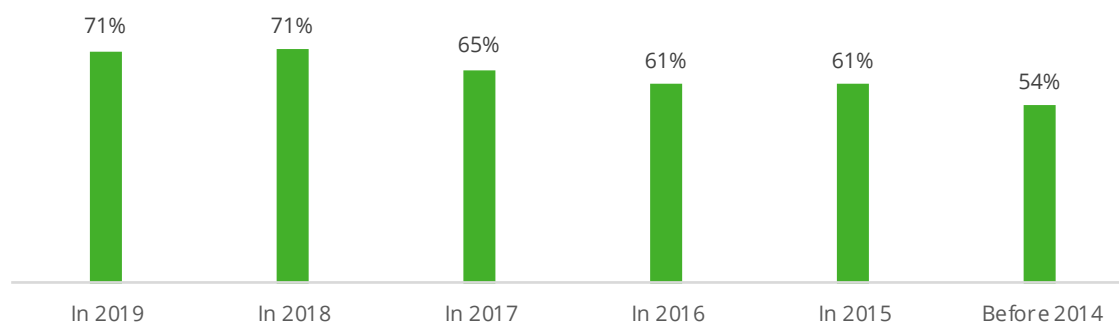
Internet speed: **Two-thirds** of consumers are satisfied with internet speeds.

SATISFACTION WITH INTERNET SPEED (2018 & 2019)



Q. How do you feel about the internet speed you currently get on your phone from your operator?

SATISFACTION WITH INTERNET SPEED BY YEAR OF SMARTPHONE PURCHASE



Q. How do you feel about the internet speed you currently get on your phone from your operator?

Satisfaction with internet speed improves

Consumer satisfaction with internet speed improved slightly between 2018 and 2019. More than two-thirds of consumers are satisfied with the internet speed they receive. The relatively high levels of satisfaction with mobile internet speed reflects the increased availability of LTE (Long-Term Evolution) coverage in South Africa. According to the Independent Communications Authority of South Africa (ICASA), LTE coverage increased from 76.7% in 2017 to 85.7% in 2018.

The willingness of dissatisfied consumers to pay more for faster internet speed increased marginally. As such, there is a slim opportunity to differentiate through speed-based packages.

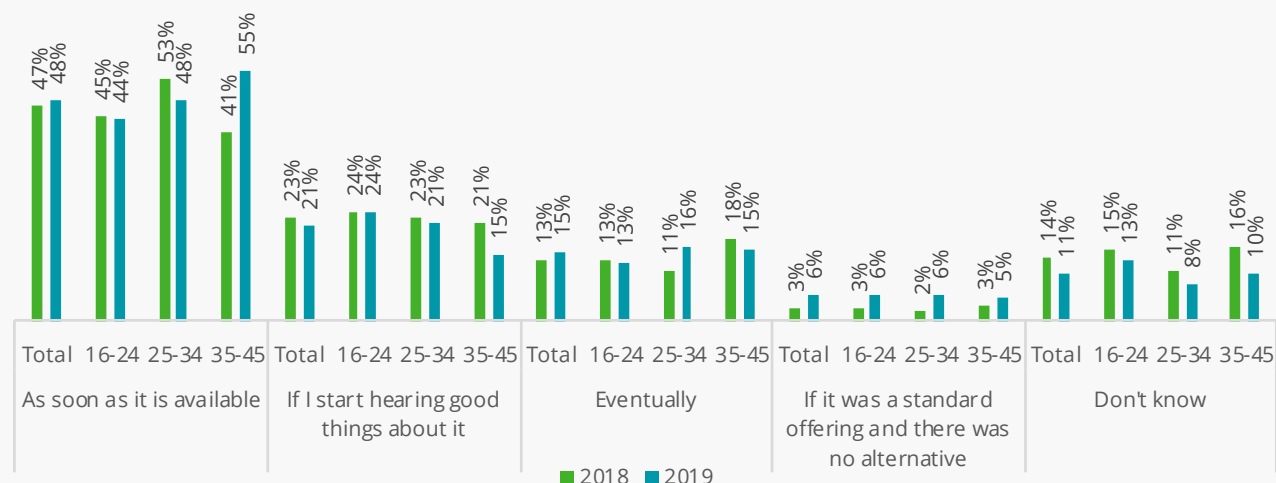
Satisfaction with internet speed a matter of smartphone age

The satisfaction with internet speed declines with the age of the phone. While more than 70% of consumers who bought their phones during 2019 are satisfied with the speed of their internet connection, only just over half of consumers who bought their phones five or more years ago are satisfied.

While older devices may negatively impact the overall user experience, newer devices tend to have faster processors and support new capabilities, for example, LTE advanced features like Carrier Aggregation and more advanced modulation schemes such as 256QAM and 4x4MIMO.

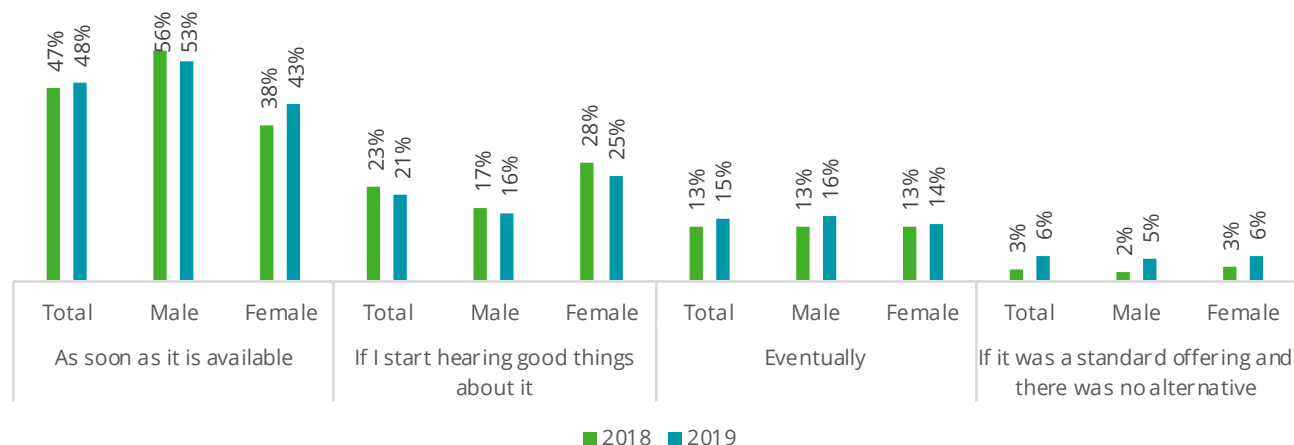
5G: There are strong shifts in attitude towards 5G.

WILLINGNESS TO ADOPT 5G BY AGE GROUPS (2018 & 2019)



Q. When would you switch to a 5G network?

WILLINGNESS TO ADOPT 5G BY GENDER (2018 & 2019)



Q. When would you switch to a 5G network?

Strong shifts in attitude towards 5G across age groups

While consumers aged between 35–45 years were the least enthusiastic age group in 2018, they have become most enthusiastic in 2019. This indicates a potential rise in awareness of the benefits of this new technology.

The share of consumers in the 25–34 age group that would adopt 5G as soon as it is available dropped between 2018 and 2019. These shifts illustrate that the different age groups tend to be at different stages on the “Gartner’s Hype Cycle” of new technologies.

Men remain more enthusiastic about 5G

While men remain more enthusiastic about 5G adoption, their enthusiasm cooled between 2018 and 2019. In contrast, enthusiasm among women, who tend to be less enthusiastic about 5G than men are, has increased markedly during the same period.

Women seem to follow a wait-and-see approach towards 5G, with about a quarter of them willing to adopt this new technology once they hear positive reports.

APPS/SERVICES:

All about self-expression?



FOOD DELIVERY

PASTA

ASIAN

BURGERS

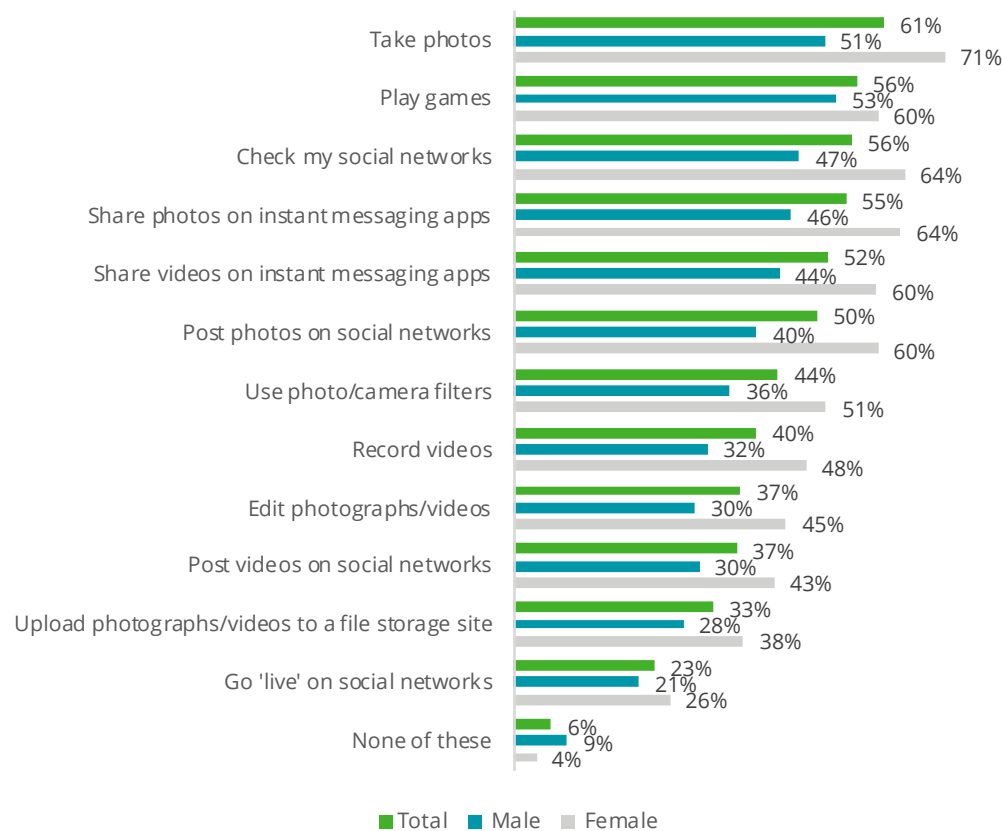
PIZZA

SOUPS

VEGAN

Apps/services: **Women and older consumers** tend to use their phones for a **wide range** of services/apps.

PURPOSES PHONE USED FOR BY GENDER

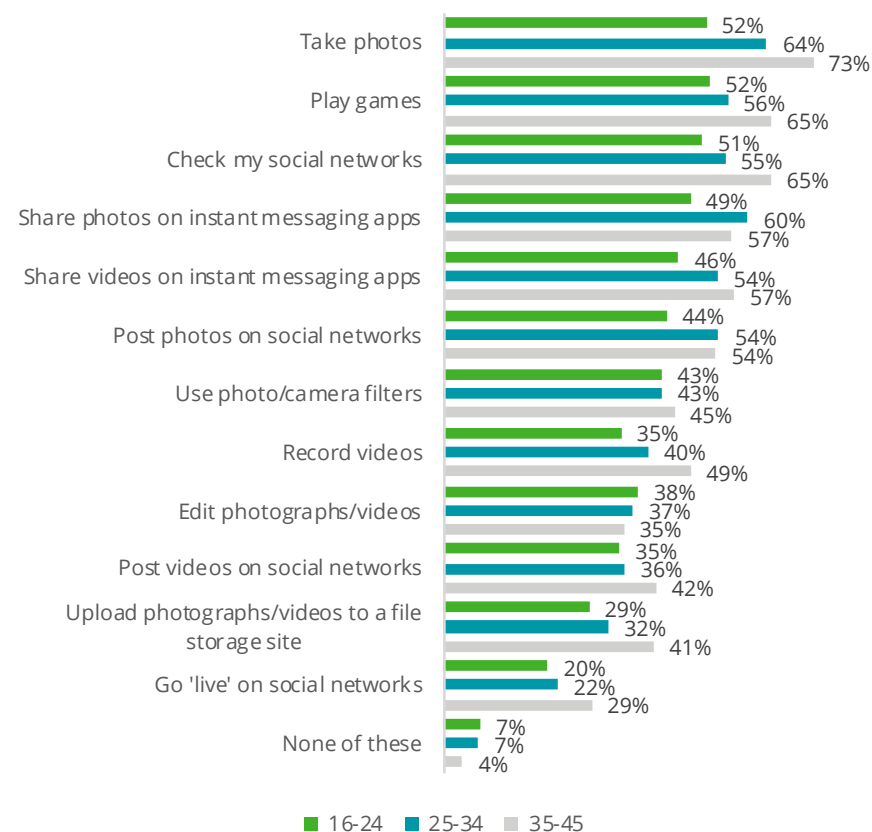


Q. Which of the following, if any, do you regularly use your phone to do?

Women tend to use their phones for a wide range of services/apps

Women tend to use a wider range of services and apps and seem to be more active on social media platforms than men are. Compared to men, a larger proportion of women use their phones to take photos and share these online.

PURPOSES PHONE USED FOR BY AGE



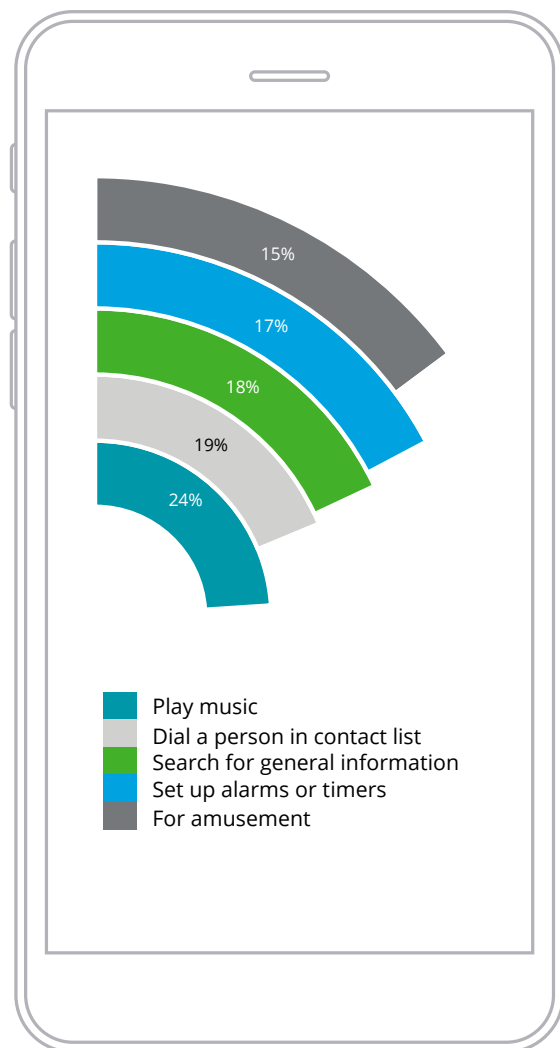
Q. Which of the following, if any, do you regularly use your phone to do?

Older consumers tend to use their phones for a wide range of services/apps

The range of services and apps used by consumers increases with age. Consumers aged 35–45 years tend to be more active on social media platforms compared to other age groups.

Voice assistants: **Smart speakers are still very niche** in the South African market.

TOP 5 REASONS FOR USING VOICE ASSISTANT ON SMARTPHONE



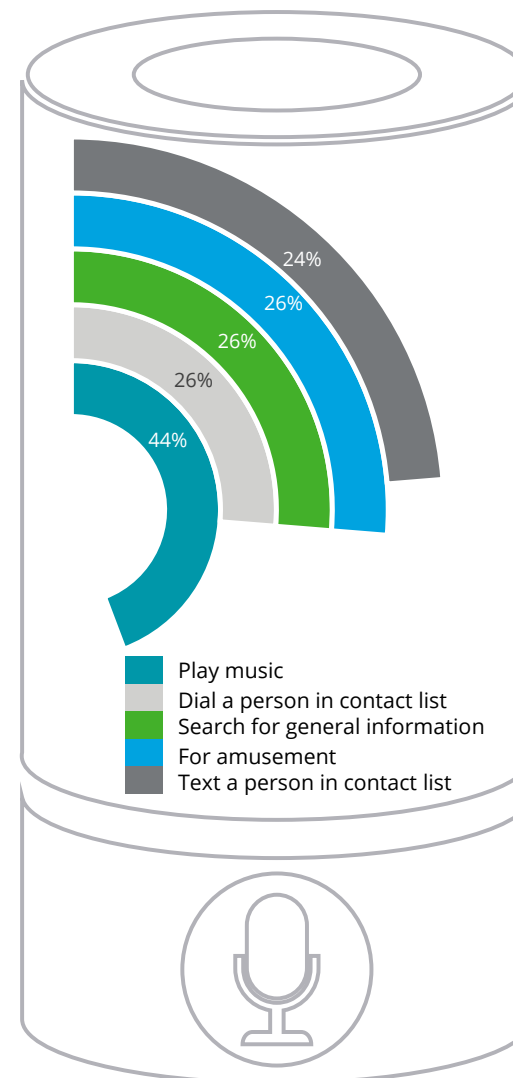
Use of voice assistant on smartphones is quite common

While more than two-thirds of South African smartphone owners use voice assistants, this functionality is often used for applications such as playing music, dialling a phone number or even amusement. This indicates the missed potential of voice assistants to drive productivity.

Q. For which, if any, of the following reasons do you use the voice assistant provided on your mobile phone?

Base: All who own or have access to a smartphone

TOP 5 REASONS FOR USING VOICE ASSISTANT ON SMART SPEAKERS



Less than 10% market penetration of smart speakers

In the absence of complementary services, smart speakers remain a very niche product. These devices are also used for applications, for which other user interfaces may be more productive or suitable. Hence, at this stage, smart speakers are rather gadgets rather than efficiency enhancers.

Q. For which, if any, of the following reasons do you use the voice assistant on your voice assisted speaker

Base: All who have a voice-assisted speaker

MOBILE GAMING:

Show me the money!



Mobile games: Women are interested in puzzles, simulations and card games, while men enjoy racing, action and sport games.

■ MOST POPULAR GAMES BY GENDER, AGE AND INCOME

Rank	Overall	Gender		Age group			Income group (monthly income)				
		Female	Male	16-24 years	25-34 years	35-45 years	<R4 000	R4 000-R9 999	R10 000-R19 999	R20 000-R39 999	>R40 000
1	Casual/Puzzle	Casual/Puzzle	Racing games	Simulation	Casual/Puzzle	Casual/Puzzle	Casual/Puzzle	Casual/Puzzle	Casual/Puzzle	Casual/Puzzle	Casual/Puzzle
2	Simulation	Simulation	Action/Adventure	Casual/Puzzle	Racing games	Card games	Racing games	Racing games	Card games	Racing games	Strategy
3	Card games	Card games	Sports	Role playing	Action/Adventure	Board/Word	Card games	Card games	Simulation	Action/Adventure	Simulation
4	Action/Adventure	Role playing	Strategy	Action/Adventure	Strategy	Casino/Betting	Action/Adventure	Board/Word	Board/Word	Card games	Role playing
5	Racing games	Board/Word	Casual/Puzzle	Racing games	Board/Word	Strategy	Sports	Strategy	Action/Adventure	Role playing	Action/Adventure
6	Board/Word	Family/Trivia	Simulation	Strategy	Card games	Arcade/Retro	Simulation	Simulation	Strategy	Simulation	Board/Word
7	Strategy	Music/Rhythm	Arcade/Retro	Board/Word	Simulation	Racing games	Board/Word	Action/Adventure	Arcade/Retro	Strategy	Card games
8	Role playing	Strategy	Card games	Music/Rhythm	Role playing	Family/Trivia	Role playing	Casino/Betting	Racing games	Sports	Arcade/Retro
9	Arcade/Retro	Action/Adventure	Board/Word	Card games	Family/Trivia	Simulation	Music/Rhythm	Family/Trivia	Role playing	Board/Word	Music/Rhythm
10	Music/Rhythm	Casino/Betting	Casino/Betting	Sports	Arcade/Retro	Action/Adventure	Strategy	Sports	Casino/Betting	Arcade/Retro	Family/Trivia
11	Sports	Arcade/Retro	Music/Rhythm	Arcade/Retro	Casino/Betting	Sports	Family/Trivia	Role playing	Family/Trivia	Casino/Betting	Racing games
12	Family/Trivia	Racing games	Role playing	Family/Trivia	Sports	Music/Rhythm	Casino/Betting	Arcade/Retro	Music/Rhythm	Music/Rhythm	AR games
13	Casino/Betting	AR games	Family/Trivia	Casino/Betting	Music/Rhythm	Role playing	Arcade/Retro	Music/Rhythm	Sports	Family/Trivia	Sports
14	Augmented Reality (AR) games	I don't play games on a mobile phone	AR games	AR games	AR games	I don't play games on a mobile phone	I don't play games on a mobile phone	I don't play games on a mobile phone	I don't play games on a mobile phone	AR games	I don't play games on a mobile phone
15	I don't play games on a mobile phone	Sports	I don't play games on a mobile phone	I don't play games on a mobile phone	I don't play games on a mobile phone	AR games	AR games	AR games	AR games	I don't play games on a mobile phone	Casino/Betting

Q. Which, if any, of the following types of games do you play on a smartphone?

Base: All who own or have access to a smartphone

Big difference between men and women

While racing, action/adventure and sports games are key favourites among men, these types of games do not attract much attention from women. Women are more interested in casual/puzzle, simulation and card games.

Big difference between age groups

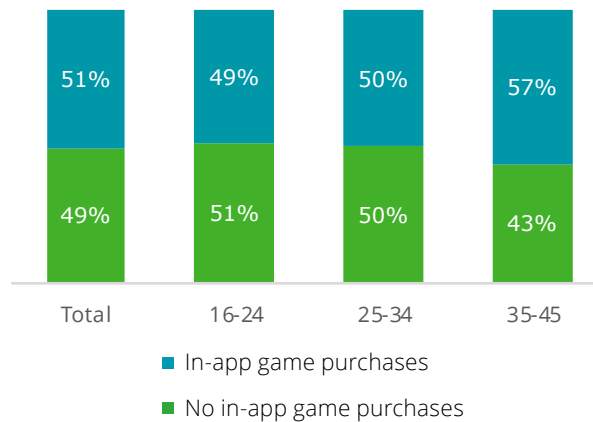
While the popularity of simulation games declines with age, the popularity of card games increases with age.

Mixed bag among income groups

While casual/puzzle games are the most popular games across all income groups, there is no clear pattern of popularity. High income earners are least likely to play casino/betting games.

Mobile games: Purchases are small, **young** consumers seek **exclusivity** and the propensity to buy increases with age.

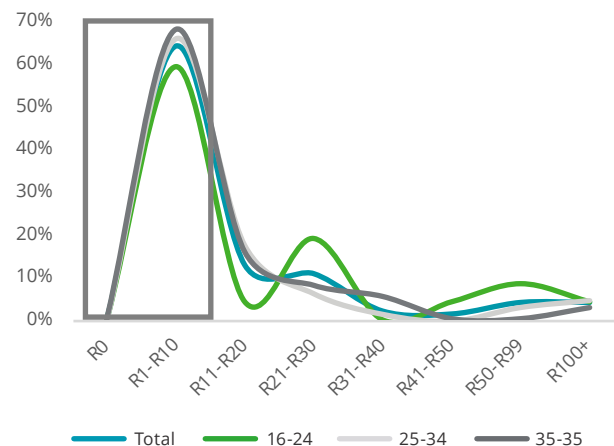
■ MOST POPULAR GAMES BY GENDER, AGE AND INCOME



In-app purchases increase with age

About 50% of consumers made in-app game purchases in 2019, with consumers aged 35–45 years being slightly more likely to make in-app purchase than consumers from other age groups.

■ MONTHLY SPEND ON IN-APP GAME PURCHASE BY AGE



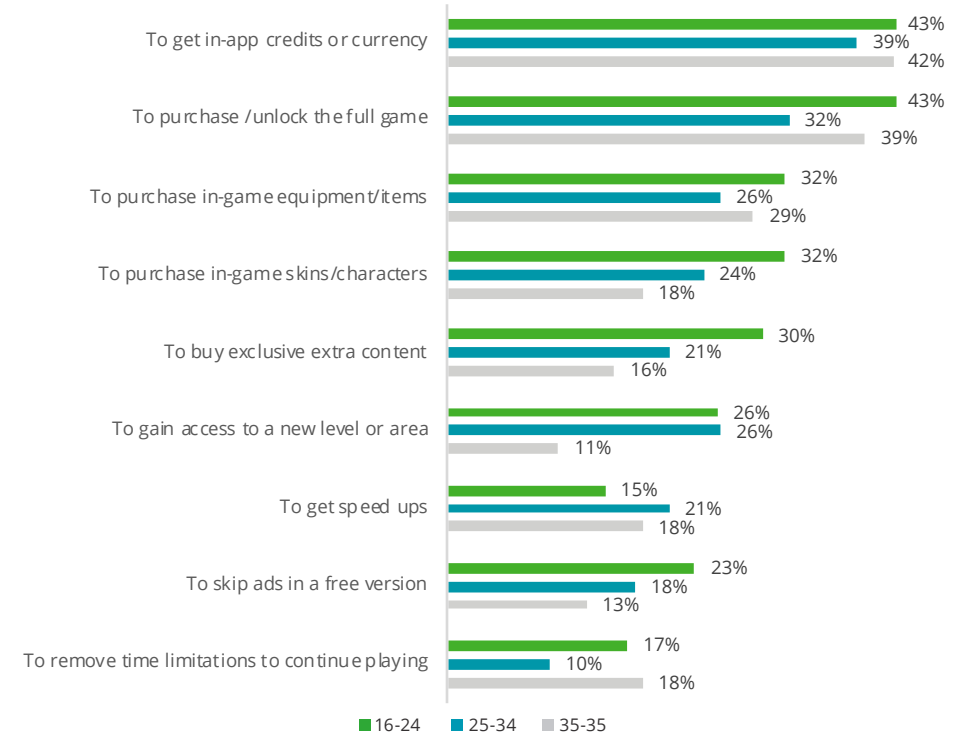
Most purchases are small amounts

Most purchases cost between R1 and R10. The least likely age group to make in-app game purchases, consumers aged 16–24 years, are most likely to make purchases of higher value driven by the desire to access exclusive content.

Q. Typically how much, if anything, do you spend on in-app purchases for mobile games each month? Please think about your total in-app purchases across all mobile games.

Base: All who own or have access to a smartphone and play games on their phone

■ REASON FOR IN-APP GAME PURCHASES BY AGE



Young consumers look for exclusivity

The most common reasons for consumers to make in-app purchases are to get in-app credit or to unlock the full game. However, consumers in the 16–24 age group are more likely than other age groups to make in-app purchases that give them access to exclusive content or customisation.

Q. Which, if any, of the following have you purchased?

Base: All who own or have access to a smartphone and play games on their phone as well as make a in app purchase

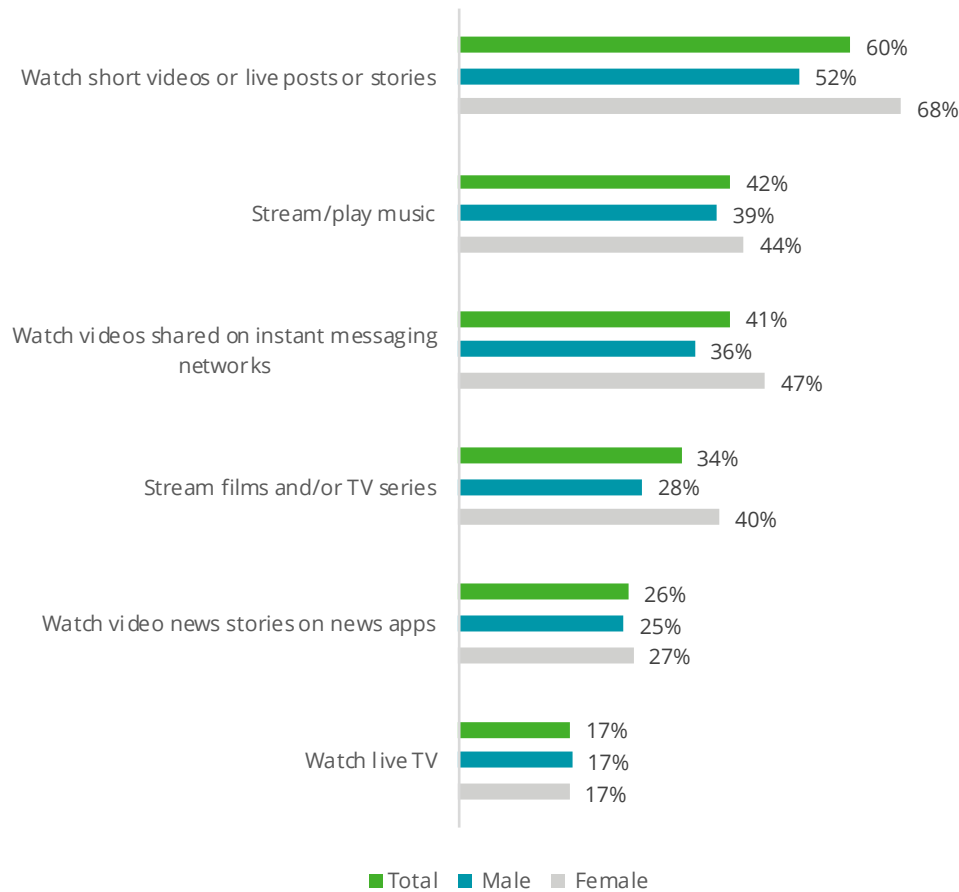
DIGITAL ENTERTAINMENT:

Film/TV/Music



Digital entertainment: The use of **data-heavy streaming** services tends to increase with **age** and **income**.

VIDEO AND FILM CONSUMPTION BY GENDER

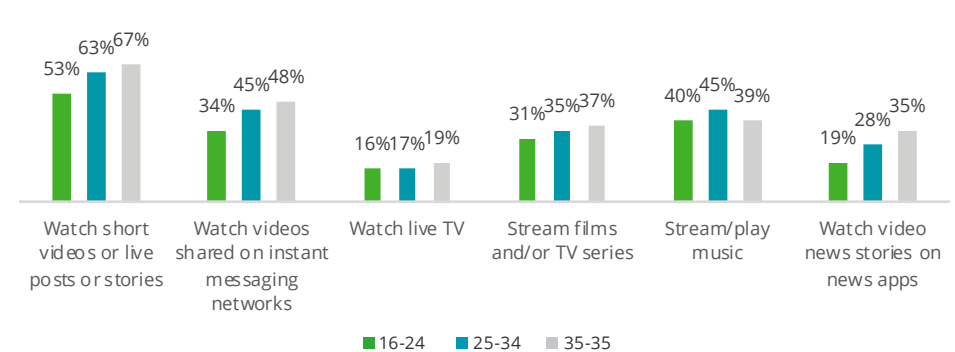


Q. Do you use your phone for any of these products or services?

Big difference between men and women

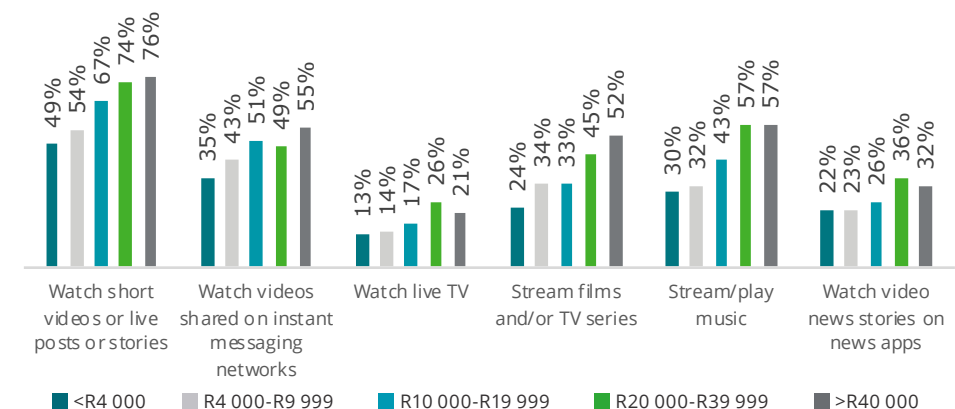
Women are far more active video/film viewers than men are. More than two-thirds of women watch short videos, live posts or stories on their mobile devices compared to just over half of men.

VIDEO AND FILM CONSUMPTION BY AGE



Q. Do you use your phone for any of these products or services?

VIDEO AND FILM CONSUMPTION BY INCOME GROUP



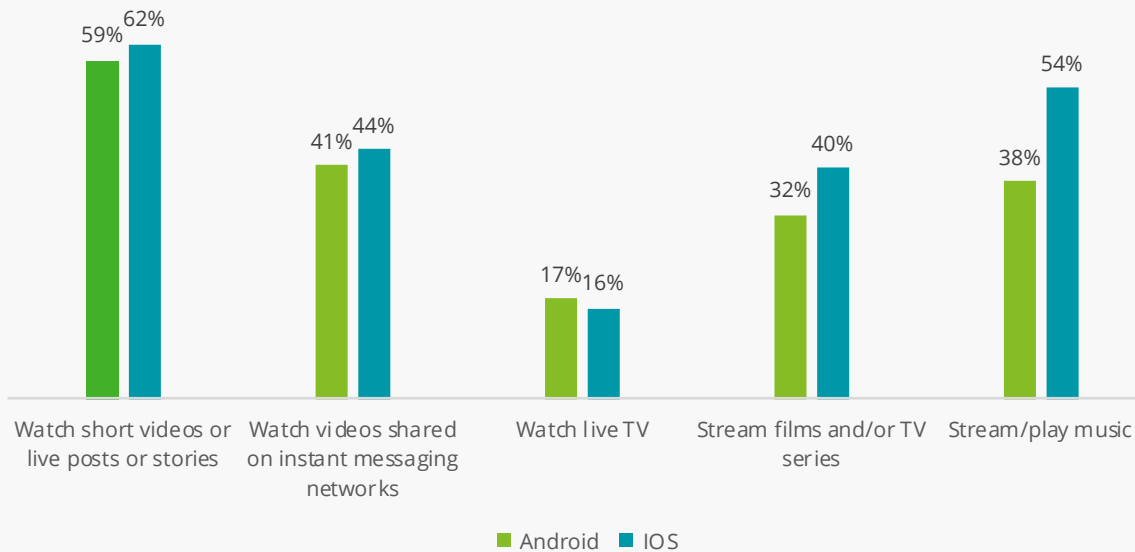
Q. Do you use your phone for any of these products or services?

Big differences between age and income groups

The frequency with which video content is consumed increases with age and income level. Affordability of data may have a strong influence on this observation.

Digital entertainment: iOS users are more likely to stream films/TV series and music.

■ MEDIA CONSUMPTION BY OPERATING SYSTEM



Q. Which of the following, if any, do you regularly use your phone to do?

Big difference between operating systems

Compared to Android users, iOS users tend to be more likely subscribers to digital entertainment content. This is especially pronounced for streaming films, TV series and music. The higher likelihood of having a subscription for entertainment, which also acts to drive higher consumption rates, may be a result of slightly higher income levels of iOS users.

MOBILE PAYMENTS/ E-COMMERCE:

Room for growth



Mobile payments/e-commerce: The use of **mobile payments** and e-commerce-related services **increases with age**, but is often limited to basic functions.

Large differences between age groups

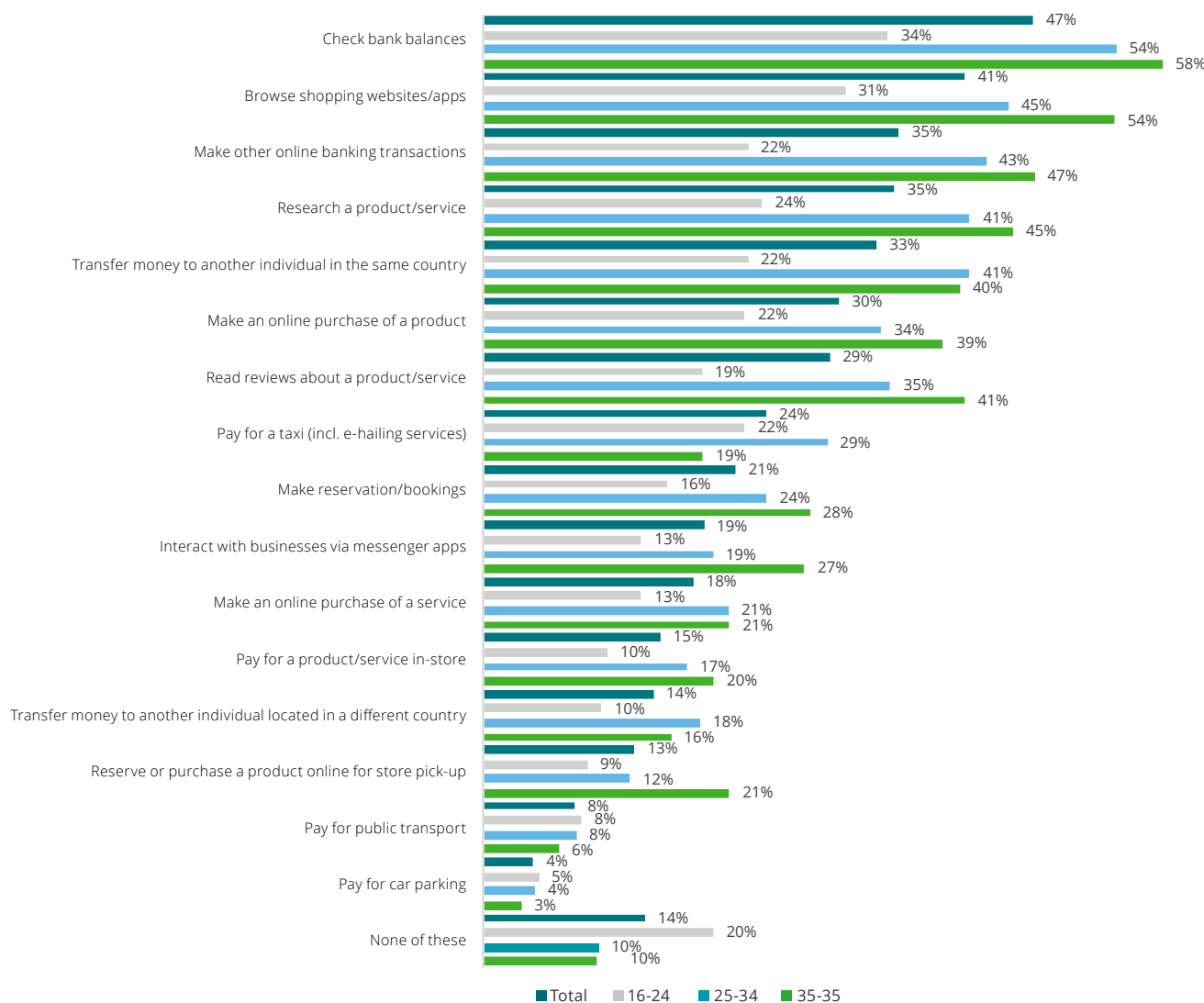
The use of mobile payments and e-commerce-related services increases with age. Compared to other age groups, consumers within the age group 35–45 years tend to be the most active users of mobile payment and e-commerce services, reflecting the different financial services needs across age groups.

On average, this age group uses close to five different services, whereas consumers aged 16–24 use fewer than three services.

The most prominent mobile payment-related activities are basic, such as checking of bank balances or browsing shopping websites.

The popularity and convenience of e-hailing services, like Uber, is especially pronounced among the 25–34 age group.

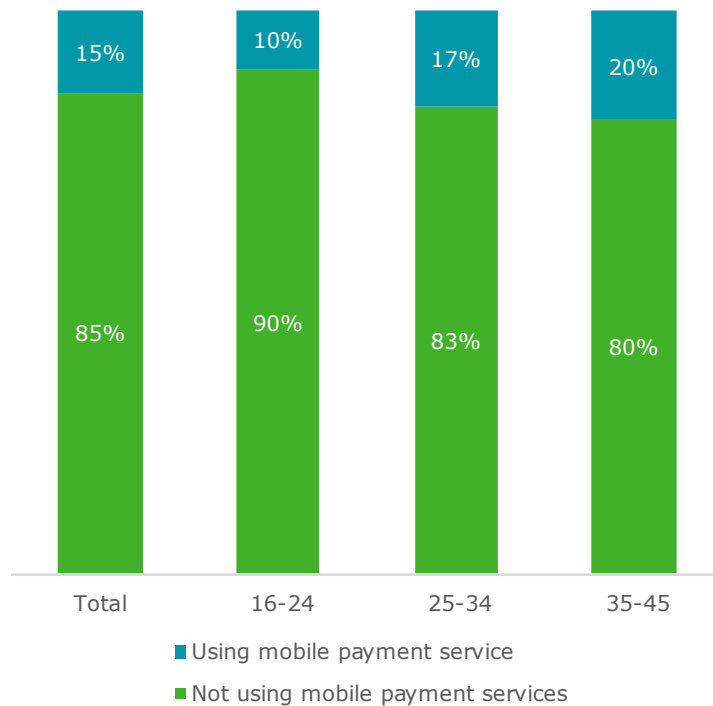
MOBILE PAYMENTS AND E-COMMERCE RELATED ACTIVITIES BY AGE GROUP



Q. Do you use your phone for any of these products or services?

Mobile payments: *Still niche services*, but are gaining momentum.

USE OF MOBILE PAYMENT SERVICES BY AGE



Q. Which of the following in-store mobile payment solutions have you used?

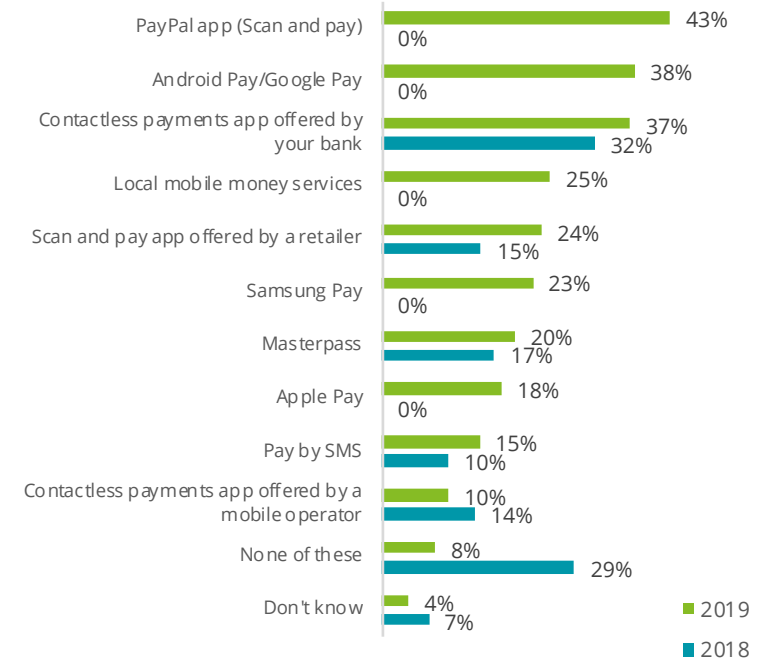
Base: All who uses their phone to pay for a product/service in-store

Mobile payment services remain niche services

Mobile payment services are a fairly new service in South Africa, with some internationally leading services not yet launched in South Africa.

Hence, it is not surprising that only 15% of consumers use mobile payments. The relatively low uptake in mobile payment services, however, reflects the potential for growth.

USE OF MOBILE PAYMENT SERVICES (2018 & 2019)



Q. Which of the following in-store mobile payment solutions have you used?

Base: Consumers that use mobile payment service

Popularity of mobile payments is increasing

Among consumers that use mobile payments, services such as PayPal, Google Pay and contactless payments apps offered by banks are the most popular. Some of these mobile payment services have recorded strong growth since their launches in recent years, indicating a healthy appetite for mobile payments among South African consumers.

Interestingly, Google Pay and Apple Pay are yet to be launched in South Africa, but some consumers already claim to use them.

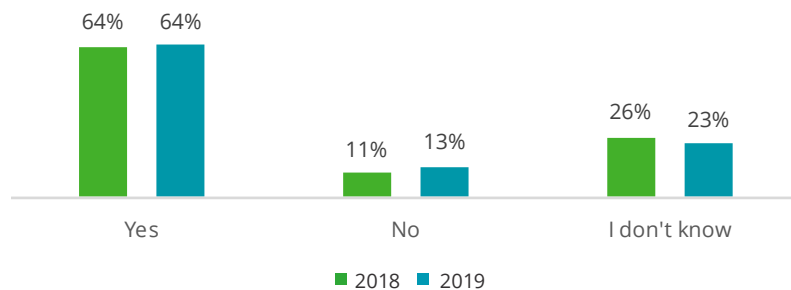
PRIVACY:

It's personal



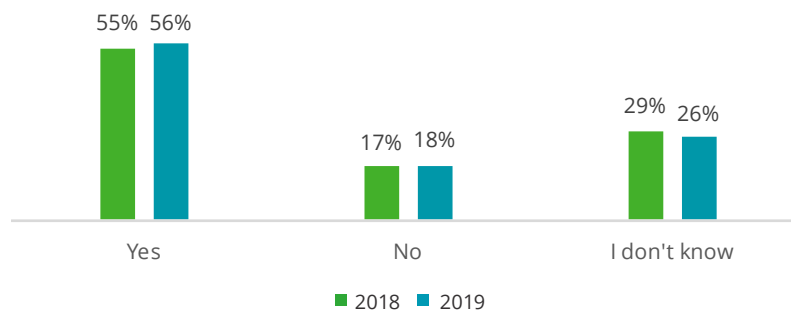
Privacy: **Most consumers** think only their basic online data is used or shared.

DATA USED BY ONLINE COMPANY (2018 & 2019)



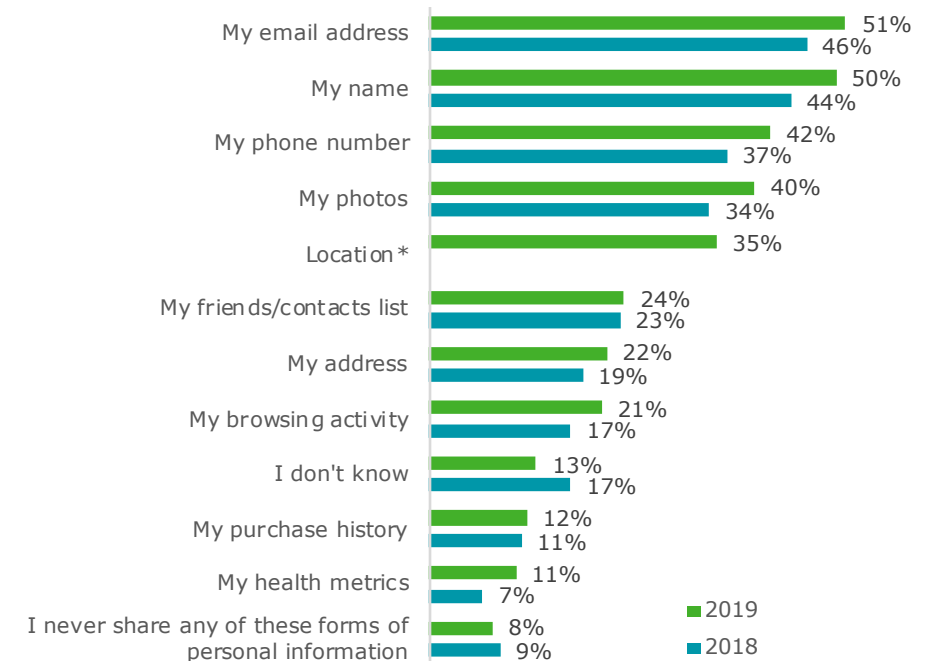
Q. Do you believe that the companies you interact with online use your personal data?

DATA SHARED WITH 3RD PARTIES (2018 & 2019)



Q. Do you believe that the companies you interact with online share your personal data with third parties (e.g. social networks sharing data with retailers)?

TYPE OF INFORMATION SHARED WITH ONLINE COMPANIES (2018 & 2019)



*not measured in 2018

Q. Do you believe that the companies you interact with online use your personal data?

Majority of consumers believe their data is used and/or shared online

About two-thirds of consumers believe that their data is used by companies they engage with online. This has been relatively constant compared to 2018. More than half of consumers believe that their data is also shared with third parties. This is a slight increase from the previous year.

Basic information is believed to be shared

Among the information most frequently believed to be shared with third parties is basic information such as email addresses, names and phone numbers. While this can already be regarded as sensitive information, only a small group of consumers believes that more sensitive information, such as health metrics, are passed on to third parties. As such, privacy concerns are low, and most people seem to accept that they will have to share some of their personal information in order to access these platforms.

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